and a grand total of all production in the United States and Canada of 3,672. This figure represents an increase of 400 over the similar total, 3,272, for 1919. The total built in the United States for domestic service in 1920 is some 200 less than the domestic production in 1919, but the figures for the Canadian and export production combine to show a definite increase in the grand total.

It should be pointed out in connection with quoting figures for locomotives exported that, due to the failure of two large locomotive builders to furnish figures showing the number built for export, the editors have had to content themselves with estimating the production of these builders from other sources, which, however, are believed to be sufficiently accurate for purposes of comparison.

If the locomotive orders for the preceding year give any data by which production for the following year may be estimated, we can safely assume that the output of locomotives in 1921 should exceed measurably the production for 1920. The fact confronts us always that American roads have for several years fallen far behind in their acquisition of new motive power and that sooner or later the deficiency must be made good. If there is to be an increase in locomotive production in 1921, then, it is a matter which should meet with the approval of all—the public and the railways themselves as well as the locomotive builders.

The locomotive orders which are listed in the accompanying tables are compiled from official sources. Some few omissions of small and unimportant orders doubtless occur. The data presented herewith were supplied by the railways, the industrial concerns and the manufacturers in reply to letters which we sent asking for the information. The lists were checked with the weekly reports in the Equipment and Supplies column of the *Railway Age* and amplified where necessary.

TABLE III. THE LOCOMOTIVES BUILT

	United States	Canada	Total
Domestic	1,857	165	2,022
Foreign	1,582	68	1,650
Total	3,439	233	3,672

Comparison with Previous Years

Year	Domestic	Foreign	Total	Year	Domestic	Foreign	Total
1896	866	309	1,176	1908*	1,886	456	2,342
1897	865	386	1,251	1909*	2,596	291	2,887
1898	1,321	554	1,875	1910*	4,441	314	4,755
1899	1,951	514	2,475	1911*	3,143	387	3,530
1900	2,648	505	3,153	1912†	4,403	512	4,915
1901	...	...	3,384	1913†	4,561	771	5,332
1902	...	...	4,070	1914†	1,962	273	2,235
1903	...	...	5,152	1915†	1,250	835	2,085
1904	...	...	3,441	1916†	2,708	1,367	4,075
1905*	4,896	595	5,491	1917†	2,585	2,861	5,446
1906*	6,232	720	6,952	1918†	3,668	2,807	6,475
1907*	6,564	798	7,362	1919†	2,162	1,110	3,272

*Includes Canadian output.
†Includes Canadian output and equipment built in railroad shops.

Locomotive Orders in 1920

Class I Roads

Purchaser	No.	Type	Cylinders	Weight	Superheater	Brick arch	Valve gear	Mechanical stoker	Builder
Ann Arbor	2	0-8-0	22½ x 28	200,000	No	Yes	Walschaert	.....	American
Atchison, Topeka & Santa Fe	30	2-8-2	27 x 32	322,920	Yes	Yes	Walschaert	Duplex	Baldwin
	10	2-10-2	30 x 32	375,400	Yes	Yes	Walschaert	Duplex	Baldwin
	10	4-8-2	28 x 28	338,310	Yes	Yes	Walschaert	Duplex	Baldwin
Atlanta & West Point	2	4-8-2	27 x 28	316,000	Yes	...	.....	.....	American
Atlantic Coast Line	25	4-6-2	25 x 28	277,000	Yes	Yes	Baker	.....	American
	5	0-6-0	21 x 28	163,600	No	Yes	Baker	.....	Baldwin
Baltimore & Ohio	50	2-8-2	26 x 32	300,000	Yes	Yes	Baker	Duplex	Baldwin
Bangor & Aroostook	6	2-8-0	23 x 30	212,000	Yes	Yes	Baker	.....	American
Boston & Albany	6	0-8-0	25 x 28	217,000	Yes	Yes	.....	.....	Lima
Boston & Maine	20	2-10-2	29 x 32	361,200	Yes	Yes	Walschaert	Duplex	American
Chicago & Alton	5	2-8-2	26 x 30	292,000	Yes	...	.....	.....	American
Central of Georgia	7	4-8-2	27 x 28	316,000	Yes	Yes	Walschaert	.....	American
	6	2-6-6-2	24-38 x 32	438,000	Yes	...	.....	.....	American
Central of New Jersey	11	2-8-2	27 x 32	337,000	Yes	...	.....	.....	American
Chesapeake & Ohio	20	2-6-6-2	21-35 x 32	441,000	Yes	Yes	Walschaert	Duplex	American
	5	0-10-0	27 x 28	295,000	Yes	Yes	Walschaert	.....	American
Chicago & Alton	5	2-8-0	26 x 30	292,000	Yes	Yes	Walschaert	Duplex	American
Chicago & North Western	20	4-6-2	25 x 28	260,000	Yes	Yes	Young	.....	American
	40	2-8-2	27 x 32	302,000	Yes	Yes	Young	.....	American
Chicago, Burlington & Quincy	15	2-10-2	30 x 27	367,830	Yes	Yes	Walschaert	Duplex	Baldwin
	16	2-8-2	27 x 32	277,000	Yes	Yes	Walschaert	.....	Baldwin
	15	0-6-0	21 x 28	163,500	No	Yes	Baker	.....	Baldwin
	5	2-8-2	28 x 32	318,700	Yes	Yes	.....	.....	Baldwin
Chicago Great Western	10	2-8-2	27 x 30	284,400	Yes	Yes	.....	.....	Baldwin
Chicago, Milwaukee & St. Paul	100	2-8-2	26 x 30	287,600	Yes	Yes	Baker	Duplex	Baldwin
Chicago, Rock Island & Pacific	10	4-8-2	28 x 28	340,000	Yes	Yes	Baker	.....	American
	15	2-10-2	30 x 32	383,000	Yes	Yes	Baker	Duplex	American
	10	2-8-2	28 x 30	322,000	Yes	Yes	Baker	.....	American
Chicago, St. Paul, Minn. & Omaha	6	2-8-2	27 x 32	320,000	Yes	...	.....	.....	American
	4	0-6-0	21 x 28	164,000	...	...	.....	.....	American
Cleveland, Cin., Chicago & St. Louis	10	0-8-0	25 x 28	217,000	Yes	Yes	.....	.....	Lima
	10	4-6-2	23½ x 26	282,000	Yes	Yes	.....	.....	American
	50	2-8-2	27 x 30	328,000	Yes	Yes	.....	.....	American
Delaware & Hudson	1	2-8-2	24-42 x 32	340,000	Yes	Yes	Young	.....	American
Delaware, Lackawanna & Western	6	4-6-2	25 x 28	302,000	Yes	Yes	Baker	.....	American
	10	2-8-2	28 x 30	321,000	Yes	Yes	Baker	Duplex	American
El Paso & Southwestern	10	2-8-2	29 x 30	319,000	Yes	Yes	Walschaert	Duplex	American
Florida East Coast	10	4-6-2	22 x 26	204,000	Yes	Yes	Walschaert	.....	American
	2	0-6-0	20 x 26	160,000	Yes	Yes	Walschaert	.....	American
Fort Smith & Western	1	2-8-2	22 x 28	206,900	Yes	Yes	.....	.....	Baldwin
Grand Trunk (Western)	25	0-6-0	22 x 26	174,000	Yes	Yes	Baker	.....	Lima
	1	4-6-2	.....	.....	...	...	.....	.....	Company shops
Great Northern	45	2-8-2	28 x 32	320,000	Yes	Yes	Walschaert	Duplex	Baldwin
Green Bay & Western	1	0-6-0	19 x 26	128,000	Yes	No	Walschaert	.....	American
Gulf Coast Lines	5	4-6-0	21½ x 26	191,000	Yes	...	Walschaert	.....	American
Gulf, Mobile & Northern	4	2-8-2	22 x 28	205,800	Yes	No	Walschaert	.....	Baldwin
Illinois Central	50	2-10-2	30 x 32	380,000	Yes	Yes	Baker	Duplex	Lima
	25	4-6-2	26 x 28	278,000	Yes	Yes	Walschaert	.....	American
	50	2-10-2	30 x 32	380,000	Yes	Yes	Baker	Duplex	Lima
	25	0-8-0	25 x 28	216,000	Yes	Yes	Baker	.....	Baldwin
Illinois Terminal	2	2-6-0	22 x 26	173,000	...	...	.....	.....	Baldwin
Indiana Harbor Belt	10	0-8-0	25 x 28	217,000	Yes	Yes	.....	.....	Lima
Lehigh Valley	5	2-8-2	27 x 30	325,000	Yes	Yes	Baker	Duplex	Baldwin
Los Angeles & Salt Lake	10	2-8-2	26 x 28	300,000	Yes	Yes	.....	Duplex	American
	4	0-6-0	21 x 26	.....	Yes	Yes	.....	.....	Baldwin
Midland Valley	2	2-8-2	22 x 28	200,500	Yes	Yes	.....	.....	Baldwin
Louisiana & Arkansas	2	4-6-0	22 x 28	194,000	Yes	...	Walschaert	.....	.....
	2	4-6-0	22 x 28	190,500	Yes	...	Walschaert	.....	Baldwin
Louisville & Nashville	2	0-6-0	21 x 28	173,550	Yes	Yes	Walschaert	.....	Am. Ry. & Eq.
	15	2-8-2	26 x 30	292,000	Yes	Yes	Walschaert	Duplex	American
	6	0-8-0	23½ x 30	219,000	Yes	Yes	Walschaert	.....	Company shops
	6	4-6-2	22 x 28	235,400	Yes	Yes	Walschaert	.....	Company shops
	12	4-6-2	22 x 28	235,400	Yes	Yes	Walschaert	.....	Company shops
	16	2-8-2	28 x 30	324,000	Yes	Yes	Walschaert	Duplex	Company shops
	6	0-8-0	23½ x 30	219,000	Yes	Yes	Walschaert	.....	Company shops

Purchaser	No.	Type	Cylinders	Weight	Superheater	Brick arch	Valve gear	Mechanical stoker	Builder
Maine Central	4	4-6-0	22 x 28	206,500	Yes	Yes	Baker	.....	American
	4	0-6-0	21 x 28	165,000	Yes	Yes	Walschaert	.....	American
Michigan Central	6	0-8-0	25 x 28	217,000	Yes	Yes	.....	.....	Lima
	10	4-6-2	23½ x 26	282,000	Yes	Yes	.....	.....	American
	10	2-8-2	27 x 30	328,000	Yes	Yes	.....	.....	American
Minneapolis & St. Louis	15	2-8-2	24 x 30	262,000	Yes	Yes	Baker	.....	American
	5	4-6-2	22 x 28	223,000	Yes	Yes	Baker	.....	American
Minneapolis, St. Paul & Sault Ste. Marie	25	2-8-2	28 x 30	294,000	Yes	Yes	Walschaert	.....	American
	5	0-6-0	20 x 26	151,000	Yes	Yes	Walschaert	.....	American
Missouri, Kansas & Texas	10	0-8-0	25 x 28	220,000	Yes	Yes	Baker	.....	Lima
	10	0-8-0	25 x 28	220,000	Yes	No	Baker	.....	Lima
	10	4-6-2	25 x 28	272,000	Yes	No	Walschaert	.....	Lima
	20	2-8-2	28 x 30	315,000	Yes	No	Walschaert	.....	Lima
Missouri Pacific	5	0-6-0	21 x 28	165,000	Yes	...	.....	.....	American
	25	2-8-2	27 x 32	325,000	Yes	...	.....	.....	American
Missouri Pacific	15	0-6-0	21 x 28	165,000	Yes	...	.....	.....	American
	5	4-8-2	27 x 30	345,000	Yes	...	.....	.....	American
	5	4-6-2	26 x 26	265,000	Yes	...	.....	.....	American
New York Central	50	0-8-0	25 x 28	217,000	Yes	Yes	.....	.....	American
	26	4-6-2	23½ x 26	282,000	Yes	Yes	.....	.....	Lima
	3	0-8-8-0	26-40 x 28	468,000	Yes	Yes	.....	.....	American
	10	2-6-6-2	21½-34 x 32	364,000	Yes	Yes	.....	.....	American
New York, Chicago & St. Louis	6	2-8-2	26 x 30	292,000	Yes	Yes	Walschaert	Duplex	Lima
New York, New Haven & Hartford	30	4-8-2	27 x 30	327,000	Yes	Yes	Southern	Duplex	American
	10	0-8-0	25 x 28	214,000	Yes	Yes	Baker	.....	American
Norfolk & Western	10	4-8-2	.....	.....	...	...	.....	.....	Company shops
Norfolk Southern	3	0-6-0	19 x 28	146,000	No	Yes	Baker	.....	Baldwin
Northern Pacific	20	4-6-2	26 x 28	296,000	Yes	Yes	Walschaert	.....	American
	25	2-8-2	28 x 30	336,000	Yes	Yes	Walschaert	.....	American
	20	0-8-0	25 x 28	214,000	Yes	Yes	Walschaert	.....	American
	6	2-8-8-2	26-40 x 30	476,000	Yes	Yes	Walschaert	.....	American
Northern Pacific Terminal	2	0-6-0	20 x 26	152,000	Yes	...	.....	.....	American
Pennsylvania	1	2-6-0	13 x 20	51,500	No	No	Richardson	.....	American
	1	0-4-0	9 x 14	24,900	...	...	.....	.....	Baldwin
Pere Marquette	12	4-6-2	23 x 28	240,000	Yes	Yes	Baker	.....	American
Philadelphia & Reading	5	4-6-2	25 x 28	273,600	Yes	No	Walschaert	.....	Company shops
	5	0-6-0	20 x 26	156,000	No	No	Walschaert	.....	Company shops
	25	2-8-0	25 x 32	279,390	Yes	No	Walschaert	Duplex	Baldwin
Pittsburgh & Lake Erie	5	2-8-2	27 x 30	319,000	Yes	Yes	.....	.....	American
Pittsburgh & Shawmut	2	4-4-2	19 x 26	173,000	Yes	No	Walschaert	.....	American
Pittsburgh & West Virginia	6	2-8-0	25 x 32	238,000	Yes	...	.....	.....	American
Portland Terminal	2	0-6-0	21 x 28	167,000	Yes	...	.....	.....	American
Richmond, Fredericksburg & Potomac	2	4-6-0	26 x 28	285,000	Yes	Yes	Walschaert	.....	American
	2	0-6-0	21 x 28	172,000	Yes	Yes	Walschaert	.....	American
St. Louis Southwestern	1	2-8-0	25 x 30	241,000	Yes	Yes	.....	.....	Baldwin
Southern Pacific	21	2-8-0	25 x 30	243,000	Yes	Yes	Baker	.....	Baldwin
	10	2-8-2	.....	.....	...	...	.....	.....	Company shops
	6	4-6-0	.....	.....	...	...	.....	.....	Company shops
	14	0-6-0	.....	.....	...	...	.....	.....	Company shops
	15	2-10-2	.....	.....	...	...	.....	.....	Baldwin
	15	4-6-2	.....	.....	...	...	.....	.....	Baldwin
	10	0-6-0	.....	.....	...	...	.....	.....	Baldwin
	2	Electric	.....	120,000	...	...	.....	.....	Westinghouse
Union	6	0-6-0	22 x 28	178,000	Yes	Yes	.....	.....	Baldwin
Union Pacific	25	2-10-2	29½ x 30	368,500	Yes	Yes	Walschaert	Duplex	Baldwin
	10	4-6-2	25 x 28	278,100	Yes	Yes	Walschaert	.....	Baldwin
	19	2-8-8-0	26-41 x 32	494,500	Yes	Yes	Walschaert	Duplex	American
	16	2-8-2	26 x 28	294,000	Yes	Yes	Walschaert	Duplex	American
	30	0-6-0	21 x 26	156,000	Yes	Yes	Walschaert	.....	Lima
Utah	2	2-10-2	29½ x 30	365,500	Yes	Yes	Walschaert	Duplex	Baldwin
Virginian	6	4-6-2	26 x 28	288,000	Yes	Yes	Baker	Duplex	American
Western Maryland	20	2-8-0	27 x 32	296,000	Yes	Yes	Walschaert	Standard	Baldwin
	20	2-8-0	27 x 32	296,000	Yes	Yes	Walschaert	Standard	Baldwin
Western Pacific	5	2-8-2	27 x 32	320,000	Yes	Yes	Walschaert	Standard	American
	5	2-8-2	28 x 30	330,000	Yes	Yes	Walschaert	.....	American

Other Railroads

Abilene & Southern	1	4-6-0	18 x 24	126,000	Yes	Yes	Walschaert	.....	Baldwin
Akron, Canton & Youngstown	2	0-8-0	25 x 28	214,000	Yes	...	.....	.....	American
Aurora, Elgin & Chicago	1	Electric	600 v., d. c.	100,000	...	...	.....	.....	General Electric
Bay Terminal	1	Switch	19 x 24	124,000	No	Yes	Baker	.....	Baldwin
Bamberger Electric	1	Electric	.....	82,540	...	...	.....	.....	Company shops
Bevier & Southern	1	2-6-0	20 x 26	137,000	...	...	.....	.....	Baldwin
Birmingham Southern	2	2-8-0	23 x 28	265,000	Yes	...	.....	.....	American
Cairo, Truman & Southern	1	Geared	.....	94,000	...	...	.....	.....	Heisler
California Western & Nav. Co	1	2-6-2	18 x 24	140,000	Yes	No	Walschaert	.....	Baldwin
Cambria & Indiana	2	2-8-0	23 x 32	238,500	Yes	Yes	Walschaert	.....	Baldwin
Charlotte Harbor & Northern	4	2-8-0	21 x 28	175,600	Yes	No	Walschaert	.....	Baldwin
Chicago Heights Terminal Transfer	1	0-6-0	22 x 26	160,900	...	...	.....	.....	Baldwin
Chicago, West Pullman & Southern	1	0-6-0	23 x 28	178,200	Yes	No	Young	.....	Baldwin
Cisco Southeastern	1	4-6-0	18 x 26	126,000	Yes	...	.....	.....	Baldwin
Columbia & Nehalem River	1	2-6-2	18 x 24	130,606	No	Yes	Walschaert	.....	Baldwin
Columbia, Newberry & Laurens	1	2-8-0	21 x 26	161,000	Yes	Yes	Walschaert	.....	Baldwin
Cornwall	2	0-6-0	21 x 28	162,000	...	...	.....	.....	American
Deering Southwestern	1	4-6-0	16 x 24	101,000	...	...	.....	.....	Baldwin
Delray Connecting	1	0-8-0	22 x 28	208,000	Yes	Yes	Walschaert	.....	American
Des Moines Union	3	0-6-0	21 x 26	138,700	...	...	.....	.....	Baldwin
East Broad Top	1	2-8-2	20 x 24	161,000	Yes	...	.....	.....	Baldwin
East Jersey R.R. & Terminal	1	0-6-0	19 x 24	127,700	No	No	.....	.....	Baldwin
East Jordan & Southern	1	2-6-0	18 x 24	121,000	No	Yes	.....	.....	American
Escambia	1	4-6-0	18 x 24	100,000	No	No	Walschaert	.....	Baldwin
Eureka Nevada	1	0-8-0	14 x 18	68,000	No	Yes	Walschaert	.....	Porter
Fairport, Painesville & Eastern	1	0-6-0	22 x 26	156,000	Yes	Yes	.....	.....	Baldwin
Hagerstown & Frederick	1	Electric	.....	52,400	...	...	.....	.....	Company shops
Hetch Hetchy	1	2-6-2	18 x 24	127,000	Yes	...	.....	.....	American
Interstate	1	2-8-0	25 x 32	323,600	Yes	Yes	Southern	.....	Baldwin
Jacksonville Terminal	2	0-6-0	20 x 26	127,000	...	...	.....	.....	Baldwin
Jonesboro, Lake City & Eastern	2	2-8-0	19 x 24	134,000	Yes	...	.....	.....	Baldwin
Kansas City, Kaw Valley & Western	2	Electric	.....	100,000	...	...	.....	.....	Bald. - West'house
Kentucky & Indiana Terminal	3	0-8-0	24 x 28	209,000	Yes	...	.....	.....	Baldwin
Lake Erie, Franklin & Clarion	1	2-8-0	22 x 28	181,000	...	...	.....	.....	Baldwin
	1	4-4-0	19 x 24	128,000	...	...	.....	.....	Baldwin
	1	0-6-0	22 x 26	160,000	...	...	.....	.....	Baldwin
Manufacturers' Junction	1	2-6-0	21 x 26	136,000	No	Yes	Walschaert	.....	Porter
Minn, Northfield & So	2	2-8-0	23 x 28	199,000	Yes	No	.....	.....	American
Mississippi River & Bonne Terre	1	Electric	.....	100,000	...	...	.....	.....	Bald. - West'house
Monongahela Valley Traction	1	2-8-0	21 x 28	175,000	Yes	Yes	.....	.....	Baldwin
Montana, Wyoming & Southern	1	2-8-2	18 x 24	135,000	...	...	.....	.....	Baldwin
Mount Hood	2	0-6-0	22 x 28	178,000	Yes	Yes	Walschaert	.....	Baldwin
Newburg & South Shore	2	0-8-0	24 x 30	221,700	Yes	Yes	Walschaert	.....	Baldwin
New Orleans Public Belt	3	0-6-0	19 x 24	130,000	Yes	Yes	.....	.....	Baldwin
New York Municipal	1	Electric	600 v., d. c.	100,000	...	...	.....	.....	General Electric
Norfolk & Portsmouth Belt Line	2	2-8-0	21 x 28	169,000	Yes	...	.....	.....	Baldwin

"As to the regulation of rates, the final rule enacted by Congress was that initial jurisdiction over regulation of intrastate rates should be returned to the states and should continue there unless and until the Interstate Commerce Commission in the exercise of newly granted administrative powers, should on appropriate complaint and hearing find any unjust discrimination against interstate commerce or undue prejudice against persons and localities to exist, in which event the Interstate Commerce Commission should prescribe the intrastate rates necessary to remove such discrimination or prejudice, which should thereafter be observed, 'the law of any state or the decision or order of any state authority to the contrary notwithstanding.'

"In order to accomplish the result desired, Congress hit upon the plan of dividing the railroads of the country into convenient groups for rate-making purposes, and providing for a basis of rates in each group which would yield a fair return upon the value of the property of the carriers devoted to transportation purposes, the rates so made to be reasonable from the viewpoint of both the users and proprietors of the railroad plants.

"It was conceived that the success of the plan made it essential that some regulating body should initiate and establish rates within the rate group, which would be just and reasonable to the public, and, at the same time, would yield the revenue necessary to avert a breakdown of transportation throughout the country. It was manifest that these important functions must have final lodgment in a single regulating body, since unity of action and harmony of purpose were essential to success. It was known to the Congress that the great preponderance of the business of the country was interstate commerce, and that there could be no doubt as to the power of Congress under the Constitution, to intrust these important matters to a federal body. It was obvious, therefore, that the Interstate Commerce Commission, which had been long functioning to the satisfaction of the country, which was informed by experience and enlightened by a great body of expert knowledge, which was administering the Valuation Act, and familiar with the rate structure of the country, should be selected as a governmental agency intrusted with the duty of dividing the country into rate groups, of ascertaining the value of property within such groups, and fixing the rate of return. No single state commission could have been selected. Nor could these matters have been intrusted to all the state commissions acting separately, since to do so would have been to create 48 rate groups with 48 different bases of rates, and the possibility of 48 different standards of measuring the value of the property, and the necessary rate of return. The problem was manifestly a national one. In the light of the formation of rate groups state lines could not be considered.

"In the actual limitation of rates within the groups and on the basis so prescribed, Congress for the first time placed the Interstate Commerce Commission under the mandate of prescribing in the first instance the rates applicable to that portion of the commerce which was interstate. As to the rates on intrastate commerce, Congress yielded to the urgent solicitation of some of the states by returning to the states a portion of the duty and responsibility which they had had in respect thereto prior to federal control. This it did by omitting from the new legislation a direct mandate upon the Interstate Commerce Commission to prescribe intrastate rates in the first instance. But in so doing, Congress was careful to prescribe a standard to which the states must adhere—that the rates maintained or initiated by them should not result in disadvantage or prejudice against persons or localities in interstate commerce or in 'any unjust discrimination against interstate commerce' itself.

"Having in mind the distinction of the Minnesota Rate Cases, Congress did not authorize the court to determine when such variance from the standard might exist, but intrusted its determination as a question of fact to the Interstate Commerce Commission—not as a question of law to the judiciary.

"It is impossible to read Section 15a (Sec. 422, Transportation Act) and Section 13 (Sec. 416, Transportation Act) of the Interstate Commerce Act as they stand today, each in the light of the other, and both in the light of the underlying purpose of Congress, and arrive at any other conclusion than that Congress had determined the time had arrived when the interstate and intrastate transactions of interstate carriers had become so intermingled as to require ultimate responsibility for both to be within the realm of national supervision.

"Thus, a failure on the part of the states to follow or decline to follow the lead of the Interstate Commerce Commission might or might not result in preferences and discrimination, dependent upon the particular facts in particular cases, and the justification which might exist therefor."

After an exhaustive discussion of the commission's order itself, the brief says no one has ever demonstrated why the intrastate rates should be lower than interstate rates, when, transportation conditions being similar. If such demonstration were made in any particular case doubtless the commission would give recognition by appropriate differences in the rates prescribed. No one has ever suggested any reason why the intrastate rates should fail to produce their proportionate share of such increased revenue as Congress might determine was necessary to keep open and in successful operation the railroads engaged in interstate commerce.

Nine States Reduced Revenues by $41,000,000

The brief says that the reports of the commission show that the annual direct loss in revenue of which the carriers in nine states have been deprived by the failure to allow the full amount of increase amounted to $41,680,256, which would be greatly increased if the intrastate rates were reduced to the maximum of 2 cents a mile prescribed by the unrepealed state statutes in some of the states, and the indirect losses resulting from the use of lower intrastate rates to portions of interstate transportation, the commission found could not be measured in terms of dollars.

Brief of State Commissions

In explaining the interest of state regulatory commissions in this case, the brief filed on behalf of the 42 states says:

"The state regulatory commissions joining in this brief seek to preserve power to serve the people of their respective states in the manner prescribed by their laws. The Transportation Act of 1920, as construed by the Interstate Commerce Commission, destroys the power of such commissions, and of the legislatures of their sales as well, to regulate intrastate commerce.

"Already the commission has made state-wide orders dispossessing the states of New York, North Carolina, South Carolina, Ohio, Indiana, Illinois, Michigan, Wisconsin, Minnesota, Nebraska, Arkansas, Montana and Utah of power over substantially all passenger fares. Like orders have been made covering freight rates in the states of Indiana, Illinois and Nebraska. The commission has also instituted proceedings looking towards like orders with respect to freight rates or passenger rates, or both, in the states of Georgia, Alabama, Florida, Missouri, Kansas, Louisiana, North Dakota, Texas, Nevada and Arizona. The orders made by the commission, by the provisions of the act, and by the express terms of such orders, are 'to remain in force until the further order of the commission.' Such orders, therefore, in their operation, are not confined to the removal of discriminations existing at the time of the making of the orders, leaving in existence state power thereafter to regulate rates upon the traffic affected, but result in the permanent destruction of all state power over such rates.

"While these orders of the commission thus far made under the Transportation Act relate to passenger fares and freight rates only, it may be said that all power of regulation is involved. Section 13 (4) of the Interstate Commerce Act, as amended by the Transportation Act, under which the orders of the commission have been made, authorizes action with respect to any 'rate, fare, charge, classification, regulation or practice' which causes 'undue, unreasonable or unjust discrimination against interstate commerce.' If it shall be held in this case that the commission can find a rate prescribed by state law discriminatory, and make an order setting the same aside, because in the opinion of the commission it is too low, and so burdensome to interstate commerce, it will be claimed that the commission may make a like finding and order as to any regulation requiring the provision of terminal or station facilities, or the furnishing of equipment or the making of improvements to safeguard life, or the doing of anything that requires the expenditure of money; and thus, if that claim shall be sustained, the power to regulate carriers in any respect, as to their intrastate operations, will be found to have been transferred from the states to the federal government.

"The state regulatory authorities jointly in this brief, therefore, believe it to be their duty to press upon the attention of the court the revolutionary character of the power which the commission has attempted to exercise in this case, and to urge that no such construction as the commission has placed upon the Transportation Act can have been within the intent of Congress, and, further, that if such construction can be held in accord with such intent, then the act in unconstitutional, as an invasion of the reserved power of the states under the federal compact."

A large part of the brief attacks the general rate-making rule of the act providing for a net return of 5½ or 6 per cent on aggregate value. After quoting the direction to the commission to exercise its power to prescribe just and reason-